



Cambridge International AS & A Level

ECONOMICS

9708/31

Paper 3 A Level Multiple Choice

October/November 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

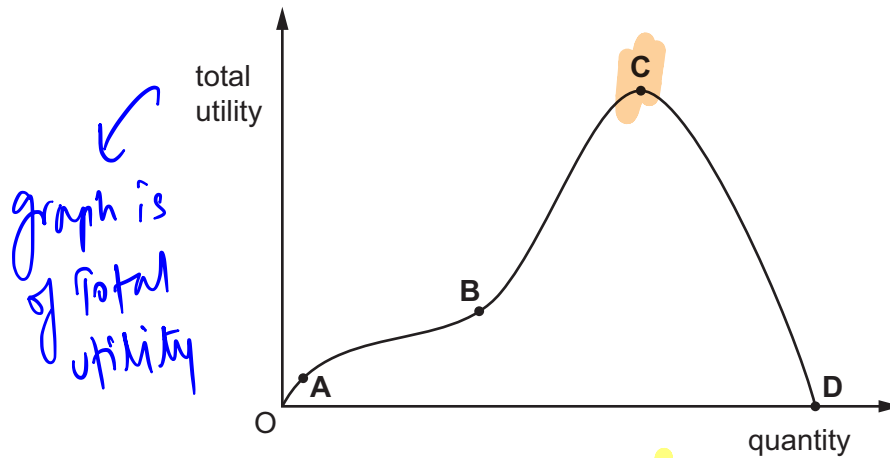
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.

- 1 The diagram shows a total utility curve for a consumer.

At which point does marginal utility equal zero? ($MU=0, TU = \text{max}$)



- 2 What is a characteristic of an indifference curve?

- A It will remain concave to the origin of the diagram. ^{no}
- B It will remain convex to the origin of the diagram. ^{no}
- C It can intersect other indifference curves at any point. ^{no}
- D The lower the indifference curve, the greater the satisfaction attainable. ^{no}

Decreasing opportunity cost. (Because of diminishing marginal utility)

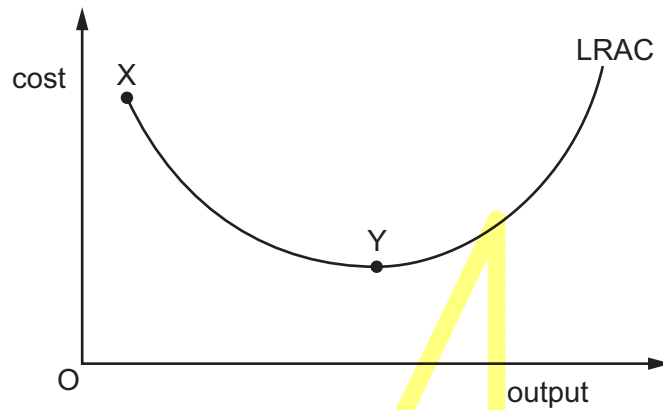
- 3 A Belgian traffic study concluded that there would be significant benefits if 10% of car drivers switched to using motorcycles during peak traffic times.

Which result would be considered a cost of this change?

- A reduced travel times (Private benefit)
- B reduced car emissions (External benefit)
- C reduced safety standards → Car drivers switching to motorcycles risk of travel increases motorcycle are less safe.
- D reduced traffic queues (Benefit)

All these options are benefit, question asks for cost

- 4 The diagram shows a firm's long-run average cost curve (LRAC).



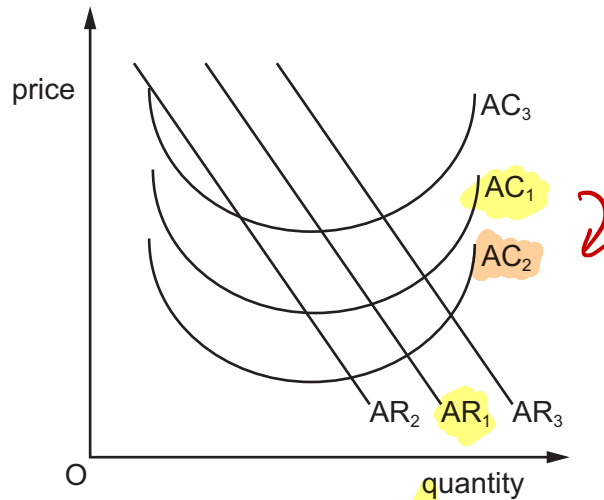
What could explain the shape of the curve from X to Y?

- A a decrease in total fixed cost *Not related to movement in LRAC*
- ☒ B increasing returns to scale *(Internal economies of scale) (Falling of ATC)*
- C internal diseconomies of scale *from point 'Y' on wards, ATC ↑*
- D more than one factor of production is variable

↳ In longrun, all factors of production are variable

- 5 The diagram shows the average revenue (AR) and average cost (AC) curves for a firm X that manufactures electronic goods.

Firm X then completes a takeover of firm Y that supplies its component parts making them cheaper. The original average revenue and average cost curves of firm X are AR_1 and AC_1 .



What is the position of the average cost curve and the average revenue curve after the takeover?

	average cost	average revenue
A	AC_1	AR_3
B	AC_2	AR_1
C	AC_2	AR_3
D	AC_3	AR_2

Cost of component parts ↓

ATC ↓ (shifts downwards)

No impact

- 6 LMN Ltd operates as a relatively small, family-owned producer in an industry dominated by a few large firms. Its product is unique so the owners are confident they will be able to sell enough to provide them with sufficient revenue to allow a minimum acceptable level of performance for the firm.

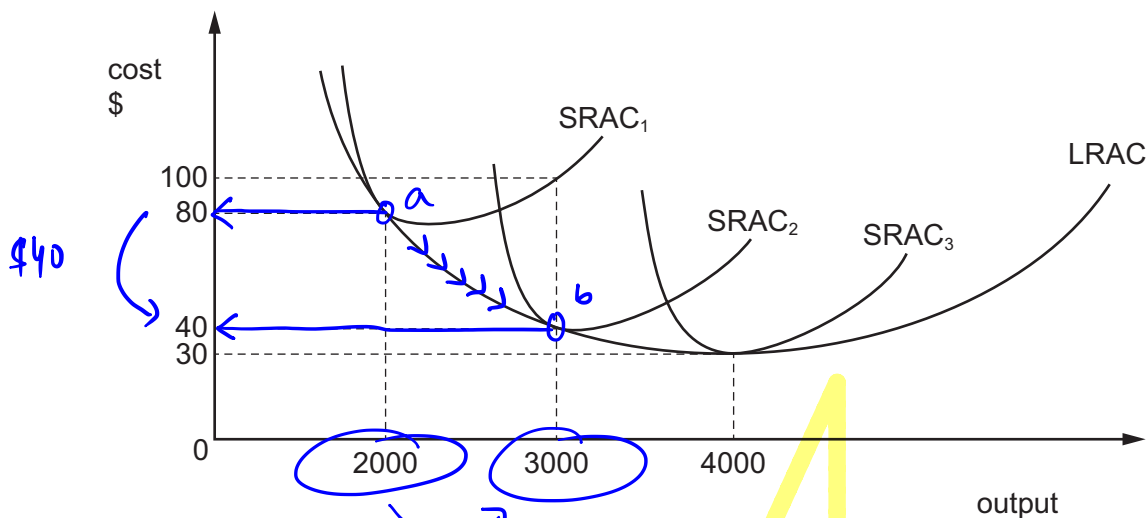
Other than survival, what is the most likely objective of LMN Ltd?

- A profit maximising ($MC = MR$)
 B profit satisficing → "good enough"
 C revenue maximising ($MR = 0, TR = \max$)
 D sales maximising ($AC = AR$)

Profit satisficing

Highest possible profit

- 7 The diagram shows the short-run average cost, SRAC, and long-run average cost, LRAC, curves for a firm producing computers. It usually produces 2000 computers per week. An increase in demand requires the firm to produce 3000 computers per week.



How much will the average costs change in the long run if the firm makes a permanent decision to produce 3000 computers per week?

- A** \$20 **B** \$40 **C** \$50 **D** \$60

- 8 What is a characteristic of monopolistic competition?

- A no barriers to entry → That's why firms earn normal profits.
- B identical products (perfect competition)
- C price takers (perfect competition)
- D small number of buyers and sellers (Oligopoly)

- 9** What is likely to have its cause in the separation of ownership and control in a firm?

- A** contestable markets *Potential threat of competition.*

- B** diseconomies of scale (rise in average cost)

- principal-agent problem → Divorce of ownership and control

- ### D prisoner's dilemma

- ↳ Oligopoly, duopoly,
 Prisoner's dilemma, pay off matrix,
 2 criminals.

Principal agent problem

of ownership and control in a firm?

of competition.

cost)

ownership and control

↓ ↓

Shareholders Managers

6
Same industry, same stage

10 Firms X and Y merge in a horizontal integration.

What must be true about the industry and the stage of production in which X and Y operate?

	industry	stage of production
A	different	different
B	different	same ✓
C	same ✓	different
D	same ✓	same ✓

* Regulation involves **rules, restrictions, or laws** directly controlling behaviour. Taxation is a **market-based instrument**, not a regulation. Although it affects behaviour, it's not a **regulatory law or rule** — it works through **price signals**, not bans or licenses.

11 Which government policy would not be classified as regulation?

- A a ban on cocaine consumption
- B compulsory wearing of seatbelts in cars
- C licences for the extraction of water from rivers
- D ✓ taxation of cigarettes → Taxation is not a regulation

Rules!
Laws

12 A government removes a subsidy on a rural school bus service.

*Subsidy removed
cost ↑
Supply ↓
Price ↑*

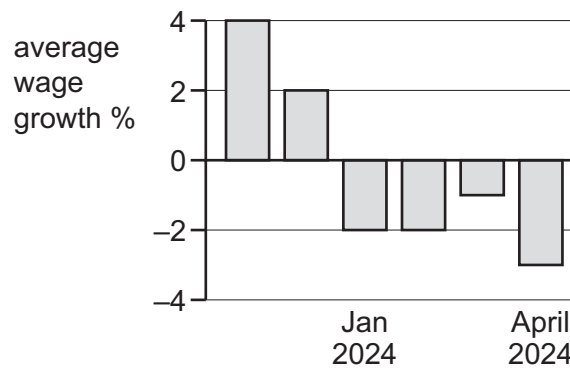
What is the effect of this on the market for this bus service?

- A Deadweight loss decreases. *Increases*
- B ✓ Private marginal costs increase. *since price increases*
- C Private marginal benefit decreases.
- D Social marginal costs decrease. $MSC = MPC + MEC$

*Demand concept,
unchanged with changes
in subsidy*

↓ Increase

13 The graph shows the percentage growth in average earnings for an economy.



→ Surplus of labour
Supply of labour ↑
Wage ↓

What is the most likely cause of the pattern shown in the graph?

- A a decrease in the supply of labour → $S_L \downarrow$, wage ↑
- B a decrease in the interest rate → $C \uparrow, I \uparrow$, Demand ↓, wage ↑
- C an increase in productivity → productivity ↑, Demand ↓, wage ↑
- ✓ D an increase in the size of the labour force → Supply ↑, wage ↓

14 The table shows the output of chairs at a factory when different numbers of workers are employed.

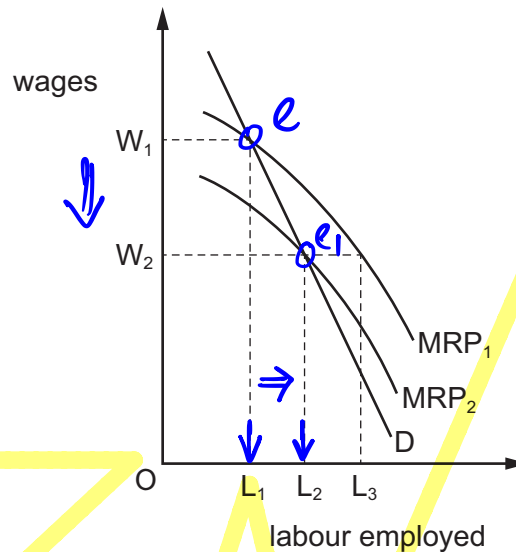
number of workers	0	1	2	3	4	5
number of chairs produced	0	7	17	26	34	40

When will diminishing marginal returns to labour set in?

- A when the second worker is employed
- ✓ B when the third worker is employed
- C when the fourth worker is employed
- D when the fifth worker is employed

- 15 In the diagram, D represents the long-run demand curve for labour in a firm operating in an imperfect market.

When there is a fall in the amount of capital invested per worker, the marginal revenue productivity of labour (MRP) curve shifts from MRP_1 to MRP_2 . (Decrease)



How does this shift affect the amount of labour employed in the long run, when wages fall?

- A It falls from L_3 to L_2 .
 B It increases from L_1 to L_2 .
 C It increases from L_2 to L_3 .
 D It remains the same at L_1 .

- 16 Which statement about money is correct?

A It consists solely of deposits held by commercial banks.

B It functions as a medium of exchange. *Correct*

C Its monetary value equals its production costs.

D It operates only when there is a double coincidence of wants.

Money isn't just bank deposits, notes, coins, near money
Double coincidence of wants is associated with barter.

- 17 In country X, unemployment is rising at the same time as the number of job vacancies is increasing.

What is the most likely reason for this?

A Economic growth is falling. *→ AD ↓, unemployment ↑, job vacancies ↓*

B Economic growth is rising. *→ AD ↑, unemployment ↓*

C Geographical mobility of labour is rising. *→ mobility ↑, unemployment ↓*

D Occupational immobility of labour is rising.

Immobility ↑, if unemployed doesn't have the skill required, so job vacancies will increase.

18 An increase in which variable affecting labour markets is most likely to reduce the natural rate of unemployment?

- A the level of unemployment benefit, *reduce incentive to work.*
- B the militancy of trade unions, *wage ↑, cost ↑, unemployment ↑*
- C the national minimum wage, *wage ↑, surplus of workers, unemployment ↑*
- ✓ D the participation on training courses, *skills ↑, occupational mobility ↑, NAIRU ↓, structural unemployment ↓*

19 A consumer has an income of \$1000 per week. The consumer spends 80% of this on goods and services.

Additional income = \$200

Additional consumption = \$100

Following an increase in the consumer's income to \$1200 per week, consumption increases to \$900 per week.

$$MPC = \frac{\Delta C}{\Delta Y} = \frac{\$100}{\$200} = 0.5$$

Which statement is correct?

- A The average propensity to consume does not change.
- B The initial average propensity to consume is 5.
- ✓ C The marginal propensity to consume is 0.5.
- D The marginal propensity to consume is 2.

APC = C/Y

20 The table shows data about the population of a country.

total population	2 000 000
labour force	1 200 000
number of people employed	900 000
number of people unemployed	300 000

Unemployment rate = $\frac{\text{Unemployed}}{\text{Labour force}} \times 100$

$\frac{300000}{1200000} \times 100 = 25\%$

What is the rate of unemployment?

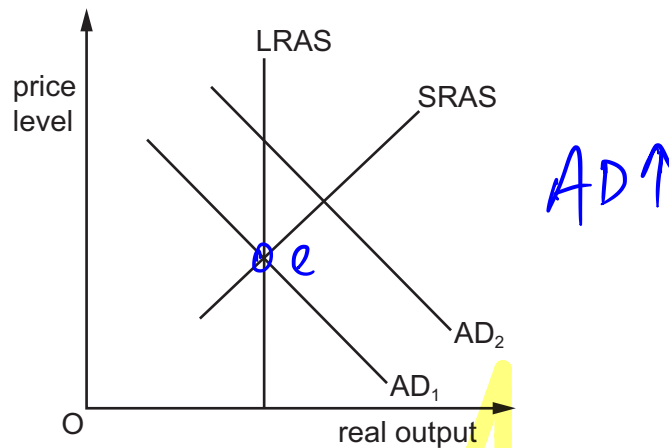
- ✓ A 25%
- B 33%
- C 60%
- D 75%

21 What is not an aim of macroeconomic policy?

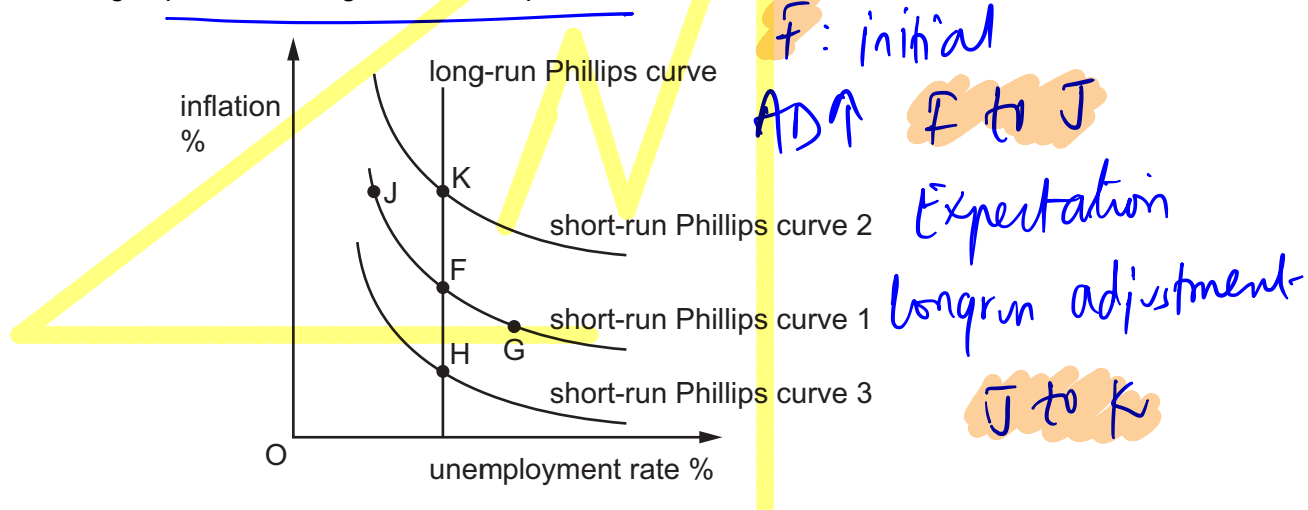
- A economic development → *Macro*
- B exchange rate stability → *Macro*
- ✓ C Pareto optimality (*Micro*)
- D satisfactory balance of payments → *Macro*

*resource allocation
Related to PPC*

22 The diagram shows an increase in aggregate demand (AD) from AD_1 to AD_2 .



How can the subsequent impact on short-run and long-run macroeconomic equilibrium positions be shown using expectations-augmented Phillips curves?



- A F to G to H
- B F to G to K
- C F to J to H
- ☒ D F to J to K

→ interest rate ↑, cost of borrowing ↑, $AS \downarrow$, inflation

23 How could high interest rates increase a country's rate of inflation?

- ☒ A by increasing the current borrowing costs of business
- B by increasing the current borrowing costs of government
- C by increasing the foreign exchange rate of the currency
- D by increasing the opportunity cost of spending

$C \downarrow$, $AD \downarrow$, inflation $\downarrow$

This means more saving

save ↑
spend ↓

$C \downarrow$

$AD \downarrow$ (inflation control)

Appreciation
 $X \text{ price} \uparrow$, $M \text{ price} \downarrow$
Trade deficit
 $AD \downarrow$ (inflation $\downarrow$)

The **marginal efficiency of capital (MEC)** is the **expected rate of return on investment**. If MEC is high, firms are more likely to **invest** when interest rates fall. This determines how much national income increases after a rate cut — if returns are attractive, investment will follow, raising aggregate demand and income.

24 What is most likely to influence subsequent increases in national income as a result of a government policy of reduced interest rates?

- A marginal cost, *cost of producing additional unit*
- B marginal efficiency of capital
- C marginal product, *relate to labour, MAF theory*
- D marginal utility, *units ↑ MU ↓, Diminishing MU!*

25 Which policy to reduce a current account deficit on the balance of payments could be described as an expenditure-switching policy?

- A a decrease in government spending *Expenditure dampening*
- B a decrease in the exchange rate of the country's currency *Devaluation, M price ↑, Switch, Domestic goods.*
- C an increase in domestic income taxes *Expenditure dampening*
- D an increase in domestic interest rates *Expenditure dampening*

26 Which components are included in the financial account of the balance of payments?

	foreign direct investment	interest, profits and dividends	
A	✓	✗	key ✓ = included ✗ = not included
B	✗	✗	
C	✓	✓	
D	✗	✓	

27 It is often argued that the UN Human Development Index (HDI) is a better indicator of economic development than income per capita because it adjusts for

- A average hours worked by the population. *(Not part of HDI)*
- B environmental pollution. *Covers under MEW*
- C inequality in income distribution. *Not part of HDI*
- D life expectancy at birth. *HDI considers Health and Education*

28 Some conditions for providing foreign aid to low-income countries can be restrictive.

Which kind of aid fits this description?

- A food aid in the event of natural catastrophes such as severe drought
- B grants that are tied to purchasing donor country goods *'Tied'*
- C loans that are repaid over a long period at a low rate of interest
- D technical assistance using highly skilled worker transfers to provide support

Grants that are tied to purchasing donor country goods represent **tied aid** — a form of aid that comes with conditions, like requiring the recipient country to buy goods or services from the donor. This limits the recipient's freedom, making it restrictive. [Turn over

29 What is most likely to cause the living standards of a country to rise?

- ✓ **A** an increase in the number of doctors *Health, life expectancy ↑*
B an increase in the gold reserves *financial asset, not directly affects S.O.L*
C an increase in the number of people per house *dependency ↑*
D an increase in the money supply *Expansionary monetary policy, lead to inflation.*

30 Globalisation means that goods and services, capital and labour are traded on a worldwide basis.

Which combination illustrates that each trade partner can benefit when a low-income country trades with a high-income country?

	the low-income country	the high-income country
A	contracts are not always fulfilled due to corrupt practices → -ve	agrees to increase investment in the infrastructure of low-income countries → +ve
B	experiences liquidity problems that restrict investment → -ve	transfers short-term government loans repayable at high interest rates → -ve
C	multinational companies repatriate profits from mining of rare minerals for export → -ve	receives supplies at high prices from multinationals to meet excess demands for rare metals → -ve
✓ D	supplies seasonal labour to overcome shortages for picking fruit crops → +ve	repatriates wages to families of seasonal workers → +ve

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